Notwithstanding the award of work for Completion of the Facilities under the Contract in two separate parts in the aforesaid manner, you/the JV *(use as applicable)* shall be overall responsible to ensure the execution of both the parts of the Contract to achieve successful completion and taking over of the Facilities/ works under the package by the Employer as per the requirements stipulated in the Bidding Documents. It is expressly understood and agreed by you/the JV*(use as applicable)* that any default or breach under the 'Contract Part I' shall automatically be deemed as a default or breach of this 'Contract Part II' also and vice-versa, and any such default or breach or occurrence giving us a right to terminate the 'Contract Part I', either in full or in part, and/or recover damages there under, shall give us an absolute right to terminate this Contract Part II, at your/JV's *(use as applicable)* risk, cost and responsibility, either in full or in part and/or recover damages under this ' Contract Part II' as well. However, such default or breach or occurrence in the 'Contract Part I', shall not automatically relieve you/the JV*(use as applicable)* of any of your obligations under this 'Contract Part II'. It is also expressly understood and agreed by you/the JV*(use as applicable)* that the Plant/equipment/goods/ materials supplied by you/the JV*(use as applicable)* under the 'Contract Part I', when erected, installed & commissioned by you/the JV*(use as applicable)* under this 'Contract Part II' shall give satisfactory performance in accordance with the provisions of the Contract.

3.0 CONTRACT PRICE FOR CONTRACT PART II

3.1 The total Contract Price Contract Part II for the entire scope of work under this Contract Part II shall be ………….. *(Specify the currency and the amount in figures & words)* ………… as per the following break-up:

Sl. No.	**Price Component**	**Amount**
1.	Installation Services	
2.	Training Charges	Not Applicable
Total for Supply of Installation Services Contract		

3.2 Notwithstanding the break-up of the Contract Price, the Contract shall, at all times, be construed as a single source responsibility Contract and any breach in any part of the Contract shall be treated as a breach of the entire Contract.

4.0 You/the JV*(use as applicable)* are/is required to furnish at the earliest a Performance Security(ies), as per the Bidding Documents, for an amount of …… *(Specify the value)*

………… i.e. equal to [3% (Three percent)] of the Contract Price, and valid upto and including ………………….. and any other securities as per the Bidding Documents.

(In case any other performance security is required to be furnished, the same is to be mentioned here)

5.0 All the bank guarantees shall be furnished from an eligible bank as described in the Bidding Documents.

6.0 The schedule for Taking Over/Completion of Facilities by the Employer upon successful Completion of the …… *(insert name of Package along with name of the Project)* …. shall be … *(indicate the completion schedule)* …. months from the date of issue of this Notification of Award for all contractual purposes.

7.0 This Notification of Award constitutes formation of the Contract and comes into force with effect from the date of issuance of this Notification of Award.

8.0 You shall enter into a Contract Agreement with us within twenty-eight (28) days from the date of this Notification of Award.

9.0 This Notification of Award is being issued to you in duplicate. We request you to return its duplicate copy duly signed and stamped on each page including the enclosed Appendix as a token of your acknowledgement.

Please take the necessary action to commence the work and confirm action.

Yours faithfully,

For and on behalf of

................*(Name of the Employer)*...........

(Authorised Signatory)

Enclosures:

APPENDIX (NOA) – 1 - Record Notes of Post - Bid Discussions held on various dates from …………. to ………………….

Note:

(1) Instructions indicated in italics in this notification of award are to be taken care of by the issuing authority. The Forms may be modified appropriately to suit the specific requirement of the Contract.

4. FORM OF CONTRACT AGREEMENT

[Alternative – a]

CONTRACT AGREEMENT PART I FOR SUPPLY OF PLANT BETWEEN .... *(Name of Employer)* .... AND M/s. .... *(Name of Contractor)* ..../JOINT VENTURE (JV) OF M/s. …….. *(Name of Lead Partner)*…. (THE LEAD PARTNER OF THE JV) AND M/s. …..*(Name of Other Partner)*…… (THE PARTNER OF THE JV) *[Use as applicable]*

THIS CONTRACT AGREEMENT PART I No. ………………… (also referred to as 'Supply of Plant Contract/the Contract Part I ') is made on the ….. day of …………… 20…..

BETWEEN

(1) .... *(Name of Employer)*................... a company incorporated under the laws of Companies Act 1956/2013 (with amendment from time to time) and having its Registered Office at ………*(registered address of the Employer)* ………………… and its Corporate Office at …………*(address of the Employer)*……………. (hereinafter called "the Employer" and also referred to as "…..*(insert abbreviated name of the Employer)* ……..")

and

(2) M/s .... *(Name of Contractor)* ...., a company incorporated under the laws of Companies Act 1956/2013 (with amendment from time to time) and having its Principal place of business at ………...*(Address of Contractor)* .... and Registered Office at ………...*(Registered address of Contractor)* .... (hereinafter called "the Contractor" and also referred to as "…..*(insert abbreviated name of the Contractor)* ……..")

or

Joint Venture (JV) of M/s .... *(Name of Lead Partner)* .... (the Lead Partner of JV), a company incorporated under the laws of Companies Act 1956 and having its Principal place of business at ………...*(Address of Lead Partner)* .... and Registered Office at ………...*(Registered address of Lead Partner)* .... and M/s .... *(Name of Other Partner)* .... (the Partner of JV), a company incorporated under the laws of Companies Act 1956/2013 (with amendment from time to time) and having its Principal place of business at ………...*(Address of Other Partner)* .... and Registered Office at ………...*(Registered address of Other Partner)* .... (hereinafter called "the Contractor" and also referred to as "Joint Venture"/the 'JV'") *(Applicable only in case of Joint Venture)*

WHEREAS the Employer desires to engage the Contractor to design, manufacture, test, deliver, install, commission and complete certain Facilities, **at ______________________ DISTRICTS of MAHARASHTRA STATE** in **System Strengthening works** ("the Facilities") as detailed in the Contract Document and the Contractor, in accordance with the mode of contracting specified therein, has agreed to such engagement upon and subject to the terms and conditions appearing in this Contract Agreement for **Supply of Plant, Installation & Civil** for the Facilities, constituting the Contract and the aggregate of the Contract Price for Supply of Plant, Installation & Civil constituting the Contract Price for the Contract.

WHERE, the Employer, under this Contract Agreement, desires to engage the Contractor for the **supply of Plant, Installation & Civil** for ___________________ **DISTRICT of MAHARASHTRA STATE** basis inter-alia including site survey, planning, design, engineering, manufacture, testing, supply, loading, transportation, unloading, insurance, delivery at site and handling, storage of Plant, all labour, Contractor's equipment, temporary works, materials, consumables, design and preparation of layout, engineering drawings, and all matters and things of whatsoever nature, including testing, pre-commissioning, guarantee tests and commissioning the provision of as-built drawings, operations and maintenance manuals, training etc. and other services, incidental thereto, required for the complete execution of Development of Distribution Infrastructure at ______________________ **DISTRICT** of MAHARASHTRA STATE in System Strengthening works and the scope of work is briefly described below:

The scope of work under the subject package includes site survey, planning, design, engineering, assembly manufacturing, testing, supply, loading, transportation, unloading, insurance, delivery at site, handling, storage, installation, testing, commissioning and documentation of all items/material required to complete the following works in the ________________________ **DISTRICT** of MAHARASHTRA STATE which inter-aliainclude:

- survey, planning, design, engineering, assembly manufacturing, testing, supply, loading, transportation, uploading, insurance, delivery at site, handling, storage, installation, testing, commissioning and documents of all items / materials of New Substations, Augmentation of Substations, Additional Power Transformers, HT Lines and other allied works

NOW IT IS HEREBY AGREED as follows:

Article 1. Contract Documents & Subsequent Corrigendum I & II

1.1 Contract Documents (Reference GCC Clause 2)

The following documents shall constitute the Contract between the Employer and the Contractor, and each shall be read and construed as an integral part of the Contract:

VOLUME – A

1. This Contract Agreement and the Appendices thereto.
2. Notification of Award Ref. No.________________________________.

VOLUME – B

3. Documents comprising of the following:
    - Conditions of Contract, Contract Forms (Part 3 of Bidding Documents) and subsequent corrigendum I & II
        - Conditions of Contract including Special Conditions of Contract (SCC) and General Conditions of Contract (GCC); (Section 7 of Bidding Documents)
        - Contract Forms (Section 8 of Bidding Documents)
    - Employers' Requirements (Part 2 of Bidding Documents) and subsequent corrigendum I & II
        - Employer's Requirements (Section 6 of Bidding Document)
    - Bidding Procedures and Requirements (Part 1 of Bidding Documents) and subsequent corrigendum I & II
        - Request for Bids Notice (Section 1 of Bidding Documents)
        - Eligibility and Qualification Requirements (Section 2 of Bidding Documents)
        - Instruction to Bidders and Bid Data Sheets (Section 3 of Bidding Documents

VOLUME – C

4. **Bid Submitted by the Contractor.**

(Only relevant extracts are attached herewith for easy reference. Should the circumstances warrant, the original Bid along with the enclosures thereof, shall be referred to).

1.2 **Order of Precedence (Reference GCC Clause 2)**

In the event of any ambiguity or conflict between the Contract Documents listed above, the order of precedence shall be the order in which the Contract Documents are listed in Article 1.1 (Contract Documents) above.

1.3 **Definitions (Reference GCC Clause 1)**

Capitalized words and phrases used herein shall have the same meanings as are ascribed to them in the General Conditions of Contract/Special Conditions of Contract.

Article 2. Contract Price and Terms of Payment

2.1 Contract Price (Reference GCC Clause 11) for Contract

The Employer hereby agrees to pay to the Contractor the Contract Price for **Supply of Plant, Installation & Civil** Contract in consideration of the performance by the Contractor of its obligations hereunder. The Contract Price for the entire scope of work under this Contract of Supply of Plant, Installation services & Civil shall be **Rs. ______________________ (Rupees ____ only)** Excluding GST or such other sums as may be determined in accordance with the terms and conditions of the Contract. The break-up of the Contract Price is as under:

Sl. No.	**Price Component**	**Amount in INR**
1.	Schedule 2: Civil Works	
2.	Schedule 3: Material & Services (Excl. GST)	
3.	Schedule 1: Total (Sch-2 + Sch-3)	
Total for Supply of Plant, Installation & Civil Contract (Excl. GST)		**Rs.**

The detailed break-up of Contract Price for **Supply, Installation & Civil contract** is given in the relevant Appendices hereto.(Appendix IX)

2.2 Terms of Payment (Reference GCC Clause 12)

The terms and procedures of payment according to which the Employer will reimburse the Contractor are given in Appendix 1 (Terms and Procedures of Payment) hereto.

2.3 Final installment (10%)

The final installment of balance ten percent (10%) of payment will be made upon successful commissioning of the entire works and completion of all the works duly certified by the employer's representatives and after issue of the last completion certificate and submission of a ``**unconditional No claim certificate**" by the contractor.

Unconditional no claim shall be submitted at the time of processing of 10% Final installment and contractor is not be entitled to submit any claim after submission of ``**Unconditional No claim certificate**''.

2.4 Changes in Bank Account

In case bidder has to change the Bank Account for transactions, the NOC of existing bank is need to be submitted to MSEDCL (applicable for Joint Venture contractonly).

Article 3. Effective Date for Determining Time for Completion

3.1 **Effective Date (Reference GCC Clause 1)**

The Effective Date from which the Time for Completion of the Facilities shall be counted and determined is the date of the Letter of Award / Notification of Award i.e., ________________________________.

3.2 **Contract Commencement and completion Schedule (Notice Inviting Tenders Part 1 - Bidding Procedures and Requirements & Corrigendum 2 thereof):**

The contract commencement date shall be DD/MM/YYYY i.e. date of issue of Letter of Award(LOA)/Notification of Award (NOA) by the Employer. The works completion period shall be of 24 months from date of LOA/NOA.

3.3 **Statutory Clearances (8.3 of Part-II Employer`s requirement)**

The contractor shall be responsible for obtaining all statutory clearances from the concerned authorities for commissioning and operation of the equipments including the Electrical Inspector. Necessary fee to perform these works shall be paid by the employer. This clause shall have no impact on MSEDCL`S right to levy LD. However, LD should be finalized case to case basis.

Article 4. Appendices

The Appendices listed in the List of Appendices, as mentioned below, shall be deemed to form an integral part of this Contract Agreement and the Contract.

Reference in this Contract Agreement and the Contract, to any Appendix shall mean and include the Appendices attached hereto, and this Contract Agreement and the Contract shall be read and construed accordingly.

List of Appendices

Appendix	Appendix details	Conditions of Contract part 3
Appendix 1	Terms and Procedures of Payment	payment procedure page ____ to ____ as per SBD
Appendix 2	Price Adjustment	Page ____ to ____ as per SBD
Appendix 3	Insurance Requirements	As attached

Appendix 4	Time Schedule --	Milestone attached
Appendix 5	List of Approved Subcontractors	
Appendix 6	Scope of Works and Supply by the Employer	Page _____
Appendix 7	List of Document for Approval or Review	Page _____
Appendix 8	Guarantees, Liquidated Damages for Non-Performance	Page _____
Appendix 9	Price Schedules indicating Price Breakdown of Contract Price for Supply of Plant, Installation Services & Civil Works	As attached
Appendix 11	Integrity Pact	As attached

Article 5.

Notwithstanding the award of work for Completion of the Facilities underthe Contract, the Contractor shall be overall responsible to ensure the execution of Plant, Installation & Civil to achieve successful completion and taking over of the Facilities/Works under the package by the Employer as per the requirements stipulated in the Contract. It is expressly understood and agreed by the Contractor that any default or breach under the 'Contract of Plant, Installation & Civil' shall automatically be deemed as a default or breach of this 'Contract ' and any such breach or occurrence or default giving the Employer a right to terminate the 'Contract of Supply, Installation & Civil' either in full or in part, and/or recover damages there under the Contract, shall give the Employer an absolute right to terminate this Contract at the Contractor's risk, cost and responsibility, either in full or in part and /or recover damages under this 'Contract of Plant, Installation & Civil ' as well. However, such breach or default or occurrence in the 'Contract of Plant, Installation & Civil' shall not automatically relieve the Contractor of any of its responsibility/ obligations under this Contract. It is also expressly understood and agreed by the Contractor that the Plant/equipment/ goods /materials supplied by the Contractor & when erected, installed and commissioned by the Contractor under the 'Contract' shall give satisfactory performance in accordance with the provisions of the Contract.

IN WITNESS WHEREOF the Employer and the Contractor have caused this Agreement to be duly executed by their duly authorized representatives the day and year first above written.

Signed by for and Signed by for and

on behalf of the Employer

Shri ____________________

Signature

....

Title : Chief Engineer (Projects)

In the presence of

____

on behalf of the Contractor

____

Shri ____________________

(Authorized Signatory)

Signature

....

In the presence of

4. FORM OF CONTRACT AGREEMENT

[Alternative – b]

CONTRACT AGREEMENT PART II FOR SUPPLY OF INSTALLATION SERVICES BETWEEN .... *(Name of Employer)* .... AND M/s. .... *(Name of Contractor)* ..../JOINT VENTURE (JV) OF M/s. …….. *(Name of Lead Partner)*….

(THE LEAD PARTNER OF THE JV) AND M/s. …..*(Name of Other Partner)*…… (THE PARTNER OF THE JV) *[Use as applicable]*

THIS CONTRACT AGREEMENT PART I No. ………………… (also referred to as 'Supply of Installation Services Contract/the Contract Part II') is made on the ….. day of …………… 20…..

BETWEEN

(1) .... *(Name of Employer)*.................... a company incorporated under the laws of Companies Act 1956/2013 (with amendment from time to time) and having its Registered Office at ………*(registered address of the Employer)* ………………… and its Corporate Office at …………*(address of the Employer)*……………. (hereinafter called "the Employer" and also referred to as "…..*(insert abbreviated name of the Employer)* ……..")

and

(2) M/s .... *(Name of Contractor)* ...., a company incorporated under the laws of Companies Act 1956/2013 (with amendment from time to time) and having its Principal place of business at ……….*..(Address of Contractor)* .... and Registered Office at ……….*..(Registered address of Contractor)* .... (hereinafter called "the Contractor" and also referred to as "…..*(insert abbreviated name of the Contractor)* ……..")

or

Joint Venture (JV) of M/s .... *(Name of Lead Partner)* .... (the Lead Partner of JV), a company incorporated under the laws of Companies Act 1956 and having its Principal place of business at ……….*..(Address of Lead Partner)* .... and Registered Office at ……….*..(Registered address of Lead Partner)* .... and M/s .... *(Name of Other Partner)* .... (the Partner of JV), a company incorporated under the laws of Companies Act 1956/2013 (with amendment from time to time) and having its Principal place of business at ……….*..(Address of Other Partner)* .... and Registered Office at ……….*..(Registered address of Other Partner)* .... (hereinafter called "the Contractor" and also referred to as "Joint Venture"/the 'JV'"")
(Applicable only in case of Joint Venture)

WHEREAS the Employer desires to engage the Contractor to design, manufacture, test, deliver, install, commission and complete certain Facilities, **at ______________________ DISTRICTS of MAHARASHTRA STATE** in System Strengthening works funded by ADB ("the Facilities") as detailed in the Contract Document and the Contractor, in accordance with the mode of contracting specified therein, has agreed to such engagement upon and subject to the terms and conditions appearing in this Contract Agreement for **Supply of Plant, Installation & Civil** for the Facilities, constituting the Contract and the aggregate of the Contract Price for Supply of Plant, Installation & Civil constituting the Contract Price for the Contract.

WHERE, the Employer, under this Contract Agreement, desires to engage the Contractor for the **supply of Plant, Installation & Civil** for __________________ **DISTRICT of MAHARASHTRA STATE** basis inter-alia including site survey, planning, design, engineering, manufacture, testing, supply, loading, transportation, unloading, insurance, delivery at site and handling, storage of Plant, all labour, Contractor's equipment, temporary works, materials, consumables, design and preparation of layout, engineering drawings, and all matters and things of whatsoever nature, including testing, pre-commissioning, guarantee tests and commissioning the provision of as-built drawings, operations and maintenance manuals, training etc. and other services, incidental thereto, required for the complete execution of Development of Distribution Infrastructure at _____________________ **DISTRICT** of MAHARASHTRA STATE in System Strengthening works funded by ADB and the scope of work is briefly described below:

The scope of work under the subject package includes site survey, planning, design, engineering, assembly manufacturing, testing, supply, loading, transportation, unloading, insurance, delivery at site, handling, storage, installation, testing, commissioning and documentation of all items/material required to complete the following works in the _______________________ **DISTRICT** of MAHARASHTRA STATE which inter-aliainclude:

- survey, planning, design, engineering, assembly manufacturing, testing, supply, loading, transportation, uploading, insurance, delivery at site, handling, storage, installation, testing, commissioning and documents of all items / materials of New Substations, Augmentation of Substations, Additional Power Transformers, HT Lines and other allied works

NOW IT IS HEREBY AGREED as follows:

Article 1. Contract Documents & Subsequent Corrigendum I & II

1.1 Contract Documents (Reference GCC Clause 2)

The following documents shall constitute the Contract between the Employer and the Contractor, and each shall be read and construed as an integral part of the Contract:

VOLUME – A

1. This Contract Agreement and the Appendices thereto.
2. Notification of Award Ref. No.______________________________.

VOLUME – B

3. Documents comprising of the following:

- Conditions of Contract, Contract Forms (Part 3 of Bidding Documents) and subsequent corrigendum I & II
    - Conditions of Contract including Special Conditions of Contract (SCC) and General Conditions of Contract (GCC); (Section 7 of Bidding Documents)
    - Contract Forms (Section 8 of Bidding Documents)

- Employers' Requirements (Part 2 of Bidding Documents) and subsequent corrigendum I & II
    - Employer's Requirements (Section 6 of Bidding Document)

- Bidding Procedures and Requirements (Part 1 of Bidding Documents) and subsequent corrigendum I & II
    - Request for Bids Notice (Section 1 of Bidding Documents)
    - Eligibility and Qualification Requirements (Section 2 of Bidding Documents)
    - Instruction to Bidders and Bid Data Sheets (Section 3 of Bidding Documents

VOLUME – C

4. **Bid Submitted by the Contractor.**

(Only relevant extracts are attached herewith for easy reference. Should the circumstances warrant, the original Bid along with the enclosures thereof, shall be referred to).

1.2 **Order of Precedence (Reference GCC Clause 2)**

In the event of any ambiguity or conflict between the Contract Documents listed above, the order of precedence shall be the order in which the Contract Documents are listed in Article 1.1 (Contract Documents) above.

1.3 **Definitions (Reference GCC Clause 1)**

Capitalized words and phrases used herein shall have the same meanings as are ascribed to them in the General Conditions of Contract/Special Conditions of Contract.

Article 2. Contract Price and Terms of Payment

2.1 Contract Price (Reference GCC Clause 11) for Contract

The Employer hereby agrees to pay to the Contractor the Contract Price for **Supply of Plant, Installation & Civil** Contract in consideration of the performance by the Contractor of its obligations hereunder. The Contract Price for the entire scope of work under this Contract of Supply of Plant, Installation services & Civil shall be **Rs. ______________________ (Rupees ____ only)** Excluding GST or such other sums as may be determined in accordance with the terms and conditions of the Contract. The break-up of the Contract Price is as under:

Sl. No.	**Price Component**	**Amount in INR**
1.	Schedule 2: Civil Works	
2.	Schedule 3: Material & Services (Excl. GST)	
3.	Schedule 1: Total (Sch-2 + Sch-3)	
Total for Supply of Plant, Installation & Civil Contract (Excl. GST)		**Rs.**

The detailed break-up of Contract Price for **Supply, Installation & Civil contract** is given in the relevant Appendices hereto.(Appendix IX)

2.2 Terms of Payment (Reference GCC Clause 12)

The terms and procedures of payment according to which the Employer will reimburse the Contractor are given in Appendix 1 (Terms and Procedures of Payment) hereto.

2.3 Final installment (10%)

The final installment of balance ten percent (10%) of payment will be made upon successful commissioning of the entire works and completion of all the works duly certified by the employer's representatives and after issue of the last completion certificate and submission of a ``**unconditional No claim certificate**" by the contractor.

Unconditional no claim shall be submitted at the time of processing of 10% Final installment and contractor is not be entitled to submit any claim after submission of ``**Unconditional No claim certificate**''.

2.4 Changes in Bank Account

In case bidder has to change the Bank Account for transactions, the NOC of existing bank is need to be submitted to MSEDCL (applicable for Joint Venture contractonly).

Article 3. Effective Date for Determining Time for Completion

3.1 **Effective Date (Reference GCC Clause 1)**

The Effective Date from which the Time for Completion of the Facilities shall be counted and determined is the date of the Letter of Award / Notification of Award i.e., ______________________________.

3.2 **Contract Commencement and completion Schedule (Notice Inviting Tenders Part 1 - Bidding Procedures and Requirements & Corrigendum 2 thereof):**

The contract commencement date shall be DD/MM/YYYY i.e. date of issue of Letter of Award(LOA)/Notification of Award (NOA) by the Employer. The works completion period shall be of 24 months from date of LOA/NOA.

3.3 **Statutory Clearances (8.3 of Part-II Employer`s requirement)**

The contractor shall be responsible for obtaining all statutory clearances from the concerned authorities for commissioning and operation of the equipments including the Electrical Inspector. Necessary fee to perform these works shall be paid by the employer. This clause shall have no impact on MSEDCL`S right to levy LD. However, LD should be finalized case to case basis.

Article 4. Appendices

The Appendices listed in the List of Appendices, as mentioned below, shall be deemed to form an integral part of this Contract Agreement and the Contract.

Reference in this Contract Agreement and the Contract, to any Appendix shall mean and include the Appendices attached hereto, and this Contract Agreement and the Contract shall be read and construed accordingly.

List of Appendices

Appendix	Appendix details	Conditions of Contract part 3
Appendix 1	Terms and Procedures of Payment	payment procedure page ___ to ____ as per SBD
Appendix 2	Price Adjustment	Page ____ to ____ as per SBD
Appendix 3	Insurance Requirements	As attached
Appendix 4	Time Schedule --	Milestone attached
Appendix 5	List of Approved Subcontractors	
Appendix 6	Scope of Works and Supply by the Employer	Page _____
Appendix 7	List of Document for Approval or Review	Page _____
Appendix 8	Guarantees, Liquidated Damages for Non-Performance	Page _____
Appendix 9	Price Schedules indicating Price Breakdown of Contract Price for Supply of Plant, Installation Services & Civil Works	As attached
Appendix 11	Integrity Pact	As attached

Article 5.

Notwithstanding the award of work for Completion of the Facilities underthe Contract, the Contractor shall be overall responsible to ensure the execution of Plant, Installation & Civil to achieve successful completion and taking over of the Facilities/Works under the package by the Employer as per the requirements stipulated in the Contract. It is expressly understood and agreed by the Contractor that any default or breach under the 'Contract of Plant, Installation & Civil' shall automatically be deemed as a default or breach of this 'Contract ' and any such breach or occurrence or default giving the Employer a right to terminate the 'Contract of Supply, Installation & Civil' either in full or in part, and/or recover damages there under the Contract, shall give the Employer an absolute right to terminate this Contract at the Contractor's risk, cost and responsibility, either in full or in part and /or recover damages under this 'Contract of Plant, Installation & Civil ' as well. However, such breach or default or occurrence in the 'Contract of Plant, Installation & Civil' shall not automatically relieve the Contractor of any of its responsibility/ obligations under this Contract. It is also expressly understood and agreed by the Contractor that the Plant/equipment/ goods /materials supplied by the Contractor & when erected, installed and commissioned by the Contractor under the 'Contract' shall give satisfactory performance in accordance with the provisions of the Contract.

IN WITNESS WHEREOF the Employer and the Contractor have caused this Agreement to be duly executed by their duly authorized representatives the day and year first above written.

Signed by for and on behalf of the Employer	Signed by for and on behalf of the Contractor ____________________________
Shri ________________________	Shri ________________________ (Authorized Signatory)
Signature	Signature
.... Title : Chief Engineer (Projects)	....
In the presence of	In the presence of

____

(Separate Contract Agreements shall be executed by the Employer and the Contractor in accordance with the mode of contracting stipulated at ITB, Section 3 of bidding documents. The forms of Contract under both Alternative i.e., a & b shall be used).

Appendix-1: TERMS AND PROCEDURES OF PAYMENT

In accordance with the provisions of GCC Clause 12 (Terms of Payment), the Employer shall pay the Contractor in the following manner and at the following times, on the basis of the Price Breakdown given in the Appendix regarding Price Schedules. Payments will be made in Indian Rupees.

I. "Billable Items" are worked out and attached to Price Schedule. Items otherwise required for completion of work but not listed in the Price Schedule shall also be in the scope of the Contractor. The costs of such "Non- billable Items" is deemed to be included in the quoted price of "Billable Items" by the bidder in the Price Schedule. The payment shall be made on billable item wise basis only as indicated in Price Schedule.

II. Valid Contract Performance Security to furnished by the Contractor as per the Contract and accepted by the Employer, shall be a condition precedent for release of the advance and progressive payment. Further, for release of any advance payment, requisite securities including Advance Payment Guarantee, as the case may be, to be furnished by the Contract as specified in the Contract and accepted by the Employer, shall also be a condition precedent. In case, the duration of contract gets extended then the Contractor shall furnish the revised Performance Bank Guarantee equal to 3% of the contract value and valid till 30 days beyond the warranty period as per the new contract timelines. The revised Bank Guarantee shall be submitted by the Contractor within 28 days from the date of approval of time extension by the Employer.

III. The interest rate on advance payment shall be Marginal Cost of Funds Based Lending Rate (MCLR) for one year of the State Bank of India, prevailing on the date of advance payment to the Contractor. The interest accrued on interest bearing advance shall be adjusted first before releasing any payment. The interest rate shall be calculated on the daily progressive balances outstanding as on the date of recovery/adjustment i.e. on daily rest basis.

IV. Deleted

V. Unmeasured ad-hoc payment: The employer, at his discretion in exigencies, to ensure liquidity of funds with the Contractor may accept un-measured ad-hoc bill of the Contractor. In this method, following methodology shall be adopted:

a. Submission of certificate on measurement book by Project Manager that materials under consideration have been erected, tested and commissioned as per technical specification, scope of work & approved drawings.

b. Quantum and completion of works is certified by Project Manager jointly with Contractor and eligible amount of such works are computed as per approved payment terms.

c. 50% of such eligible amount shall be released to the Contractor immediately within a week. The amount of un-measured bill should not be more than average of previous two measured bill.

d. Next bill of the work shall invariably be a measured bill in which, various quantities of unmeasured bill shall be verified and measured jointly by Project Manager and Contractor.

A. Supply, Erection, Testing and Commissioning of works under System Strengthening works funded by ADB**:**

1. Advance payment (Applicable on request of contractor):

i. Under the Supply of Plant Contract (Contract Part I), initial interest bearing adjustable Advance of 15% of Contract Price for Contract Part I shall be released in 2 (two) installments each of 7.5% of the Contract Price for Contract Part I.

First installment of 7.5% of the Contract Price for Contract Part I shall be released on presentation of the following:

a. Signing of Contract Agreement Part I and Contract Agreement Part II by the Employer and the Contractor.

b. Contractor’s detailed invoice.

c. Submission and acceptance of unconditional & irrevocable part Bank Guarantees (in two (02) equal installments) in favor of employer with total amounting to 110% of total advance amount as per proforma attached with Form:7, Section – 8 of Part -3 (Contract Forms). For release of the Ist Installment of advance the Bank Guarantee equal to 110% of Ist Installment amount shall be taken . Once it gets adjusted and the 2nd installment is due for release, the Bank Guarantee for the 2nd instalment equal to 110% of 2nd Installment amount shall be taken. The said Bank Guarantees shall be initially valid upto end of thirty (30) days after the scheduled month of supply of materials and shall be extended from time to time till thirty (30) days beyond revised scheduled month of supply of materials, as may be required under the Contract.

d. An unconditional & irrevocable Bank Guarantee for ten percent (10%) of the total Contract price towards Contract Performance Guarantee (CPG) in accordance with the provisions of Clause 44.1, Section 3 and as per proforma attached with Section-8 of Part 3 (Contract forms). The said bank guarantee shall be initially valid up to thirty (30) days after expiry of the Warranty Period and shall be extended from time to time till thirty (30) days beyond successful completion of warranty period, as may be required under the Contract.

e. Detailed PERT Network/Bar chart and its approval by the Employer.

The bidder must utilize first advance installment of 7.5% of ex-works supply component before requesting for second advance installment. Second installment of 7.5% shall be released on submission of Contractor's invoice, bank guarantee equal to 110% of the advance installment and satisfactory utilization certificate supported with documentary evidences of first advance installment.

ii. Under the Supply of Installation Services Contract (Contract part II), initial interest-bearing adjustable Mobilization Advance of 10% of Contract Price for Contract Part II shall be released in 2 (two) installments each of 5% of the Contract Price for Contract Part II:

First installment of 5% of the Contract Price for Contract Part I shall be released on presentation of the following:

a. Submission of detailed invoice for advance payment.

b. Establishment of Contractor's site offices and certification by Engineer that satisfactory mobilization for erection exists

c. Submission and acceptance of unconditional & irrevocable part Bank Guarantees (in two (02) equal installments) in favor of employer with total amounting to 110% of total advance amount as per proforma attached with

Form:7, Section – 8 of Part -3 (Contract Forms). For release of the Ist Installment of advance the Bank Guarantee equal to 110% of Ist Installment amount shall be taken . Once it gets adjusted and the 2nd installment is due for release, the Bank Guarantee for the 2nd instalment equal to 110% of 2nd Installment amount shall be taken. The said Bank Guarantees shall be initially valid upto end of thirty (30) days after the scheduled month of erection of materials and shall be extended from time to time till thirty (30) days beyond revised scheduled month of erection of materials, as may be required under the Contract.

d. Submission of an unconditional & irrevocable Bank Guarantee in favor of Employer for three percent (3%) of the total Contract price towards Contract Performance Guarantee (CPG) in accordance with Clause 44.1 of Section-3, Part 1 and as per proforma attached with Section 8 of Part 3 (Contract Forms). The said Bank Guarantee shall be initially valid up to 30 (thirty) days after the expiry of warranty period and shall be extended from time to time till thirty (30) days beyond successful completion of warranty period, as may be required under the Contract.

The bidder must utilize first advance installment of 5% of Contract Price for Contract Part II before requesting for second advance installment. Second installment of 5% shall be released on submission of Contractor's invoice, bank guarantee equal to 110% of the advance installment and satisfactory utilization certificate supported with documentary evidences of first advance installment.

2. Progressive payments (Supply of Plant):

2.1. First Installment (60%): Sixty percent (60%) payments for the supply of Plant under the Contract Part I, against various items in the attached Price Schedule, including 100% GST thereon reimbursable/ payable by Employer as per Contract, shall be paid on receipt and acceptance of Plant/ equipment/ goods/ materials on submission of documents indicated herein:

a. Signing of Contract Agreement Part I and Contract Agreement Part II by the Employer and the Contractor.

b. Detailed Project Execution Plan/PERT chart and its approval by the Employer.

c. Evidence of dispatch (R/R or receipted L/R)

d. Contractor's detailed invoice & packing list identifying contents of each shipment.

e. Invoice certifying payments of GST

f. Copy of Certificate to the effect of payments of State/ Central taxes, duties, levies etc. have been made against supply of materials through sub-vendors under the contract.

g. Certified copy of Insurance policy/Insurance Certificate.

h. Manufacturer's/Contractor's guarantee certificate of Quality.

i. Material Dispatch Clearance Certificate (MDCC) / Dispatch Instructions (DI) for dispatch of materials from the manufacturer's works. MDCC/DI shall be issued by authorized officer of Employer

j. Manufacturer's copy of challan

k. submission of the certificate by the Employer's representative that the item(s) have been received,

l. Submission of certificate by Project Manager that materials have been supplied as per technical specification, scope of work & approved drawings enclosing certified copy of inspection reports and dispatch clearances.

    a. 60% of proportionate Mobilization Advance against Supply shall be adjusted while making payments of this installment. In case of delay of project, the entire mobilization advance shall get recovered from the Contractor as per supply and erection contracts' works completion schedule respectively.

2.2. **Second Installment (30%):** Thirty percent (30%) payments against various items of price schedule 1 shall be paid on following conditions:

a. Unconditional acceptance of the Letter of Award and signing of contract agreement by the Contractor.

b. Detailed Project Execution Plan/PERT chart and its approval by the Employer.

c. Evidence of dispatch (R/R or receipted L/R)

d. Contractor’s detailed invoice & packing list identifying contents of each shipment.

e. Invoice certifying payments of ED, Taxes for the direct transaction between Employer and Contractor,

f. Copy of Certificate to the effect of payments of State/ Central taxes, duties, levies etc. have been made against supply of materials through sub-vendors under the contract.

g. Certified copy of Insurance policy/Insurance Certificate.

h. Manufacturer’s/Contractor’s guarantee certificate of Quality.

i. Material Dispatch Clearance Certificate (MDCC) / Dispatch Instructions (DI) for dispatch of materials from the manufacturer’s works. MDCC/DI shall be issued by authorized officer of Employer

j. Manufacturer’s copy of challan

k. Submission of the certificate on measurement book by the Project Manager that the item(s) have been received,

l. Submission of certificate on measurement book by Project Manager that materials under consideration have been erected, tested and commissioned as per technical specification, scope of work & approved drawings.

m. Test check certification on Measurement Book be recorded by officers in hierarchy with the claim as per policy.
While releasing 2nd installment of 30% supply payment following adjustment shall be made:

    a. Balance initial mobilization advance shall be adjusted. Also, up-to-date accrued interest shall also be recovered.

    b. In case of delay of project, the entire mobilization advance shall get recovered at this stage.

2.3. Third & Final Installment (10%):

a. The balance ten percent (10%) of payment against Supply contracts excluding Excise Duty, Taxes etc. shall be reimbursable on successful supply, erection, testing and commissioning of the works in the project and issuance of Completion Certificate by the Employer.

b. 'Commissioning' for the purpose of payments shall mean satisfactory completion of all supplies, erection, commissioning checks and successful completion of all site tests and continuous energisation of the equipment/ materials at rated voltage as per the Contract and to the satisfaction/approval of the Employer.

c. On submission of the certificate by the Project Manager that the item(s) have been received, erected, tested and commissioned.

d. In case, for any reason not attributable to the Contractor, the commissioning and charging of equipment/materials is delayed beyond 120 days of successful completion of final checking and testing of works, the balance 10% payment shall be released against an unconditional & irrevocable bank guarantee of equivalent amount initially valid till 6 months from the readiness of works for commissioning and charging at rated voltage, to be extended till 30 days beyond actual commissioning & taking over.

3. Progressive payments (Erection):

3.1. First Installment (90%) : Ninety percent (90%) payments against Erection contracts shall be paid on erection, testing and commissioning of works and on submission of relevant documents indicated herein under:

a. Unconditional acceptance of the Letter of Award and signing of contract agreement by the Contractor.

b. Detailed Project Execution Plan/PERT chart and its approval by the Employer.

c. Certified copy of Insurance policy/Insurance Certificate.

d. Material reconciliation statement consisting of the materials utilized for erection, testing & commissioning vis-à-vis erection activity of the lot of villages.

e. Submission of certificate on measurement book by Project Manager that materials under consideration have been erected, tested and commissioned as per technical specification, scope of work & approved drawings.

f. Test check certification on Measurement Book be recorded by officers in hierarchy with the claim as per policy.

While releasing 1st installment of 90% erection payment following adjustment shall be made:

  b. 100% Mobilization Advance against Erection shall be fully adjusted while making payments of first installment. Also, up-to-date accrued interest shall also be recovered.

  c. In case of delay of project, the entire mobilization advance shall get recovered from the Contractor as per supply and erection contracts' works completion schedule respectively.

3.2. Second and Final Installment (10%):

a. The balance ten percent (10%) of payment against Erection contracts shall be released on successful commissioning of the works in the project, issuance of Completion Certificate of the project and asset tagging of the created asset in GIS portal provided by the Nodal agency.

b. 'Commissioning' for the purpose of payments shall mean satisfactory completion of all supplies, erection, commissioning checks and successful completion of all site tests and continuous energisation of the equipment/ materials at rated voltage as per the Contract and to the satisfaction/approval of the Employer.

c. On submission of the certificate by the Project Manager that the equipment/materials have been erected, tested and commissioned.

d. On certification of Project Manager for reconciliation of materials and payments.

e. On certification of Project Manager of updating the asset information in the GIS platform and providing requisite information as per Employer's GIS data model. The mobile application for GIS mapping has to be provided by the Employer.

f. On certification of Project Manager that assets under the project are created and are taken over by Employer.

g. However, in case, for any reason solely attributable to the Owner/Employer, the commissioning of equipment/materials is delayed beyond 120 days of successful completion of final checking and testing of line for the purpose of commissioning as defined in bid documents, the balance 10% payment shall be released against an unconditional & irrevocable bank guarantee of equivalent amount initially valid till 6 months from the readiness of transmission lines/ distribution transformer/ service connections for commissioning and charging at rated voltage, to be extended till 30 days beyond actual commissioning & taking over.

h. <For development of new lines/ poles, the Contractor should also submit an automated measurement report based on the GPS coordinates captured through the mobile application.>

4. The Project Manager shall within sixty~~-five-~~**(60)** days after receipt of invoices enclosing requisite documents as per payment terms release the payment through electronic mode in designated bank account of the Contractor. In the event that the Contractor has duly followed the procedure enumerated above and the Employer fails to make any payment on its respective due date, the Employer shall pay to the Contractor interest on the amount of such delayed payment as from the end of the 60 days period on certified amount due but not paid at the end of such period. The applicable interest rate on the delayed amount will be equal to the marginal cost of funds based lending rate (MCLR) for one year of the State Bank of India, as applicable on the 1st April of the financial year in which the date of disbursement of the payment lies. In case the period of default lies in two or more financial years the interest amount shall be calculated separately for the periods falling in different years.

Appendix-2 : PRICE ADJUSTMENT

The prices for execution of the entire works covered under the scope of this work shall be quoted by the Bidder in the manner specified, in the BPS. The Ex-works price component, less advance will be subject to price adjustment, only for equipment/materials/items of work specifically stated under clause 1.0 below, (for which the bidder shall quote a base price), based on separate formulae as per price adjustment provisions given herein. However, it shall be noted that the Price Adjustment clause will be effective from the contract signing date. The Employer shall ensure that all the Price Adjustment would be governed as per the approved L-2 schedule signed by Employer and Contractor, which would be included in the contract.

Prices for Ex-works price component for all other equipment/items except specified at Clause 1.0 below, Charges for Erection, Inland Freight & Insurance etc. shall be FIRM and no price adjustment shall be applicable for these components for the entire duration of the Contract.

No price adjustment shall be applicable on the portion of the Contract Price payable to the Contractor as advance payment. However, if a Contractor opts for no advance then Price Adjustment would be applicable on 100% contract value.

1.0 Materials and Labour portion:

1.0.1 **For ACSR Conductor**

The price quoted/confirmed for Aluminum Conductor is based on the input cost of raw materials as on the date of quotation. It is deemed to be related to the prices of the raw materials, as specified in the price variation clauses mentioned below. In case of any variation in these prices, the prices payable shall be subject to adjustment up or down in accordance with the following formula:

For Excise duty units:

$$P = Po + WA\ (AL - ALo) + WF\ (FE - FEo)$$

For Excise duty exempted units:

$$P = Po + WA\ (AL_e - ALo_e) + WF\ (FE_e - FEo_e)$$

Wherein,

P = Ex-works price payable in Rs. Per km as adjusted in accordance with the price variation clause

Po = Ex-works price quoted/confirmed in Rs. Per km.

WA = Weight of Aluminium in ACSR conductor in MT per km. (As per IS: 398)

WF = Weight of Steel content in the ACSR conductor in MT per km. (As per IS: 398)

AL = Price of EC Grade Aluminium Ingot/Rod (as per contract) exclusive of excise duty in Rs./MT for the conductor. This price is applicable prevailing as on 30 days prior to the date of delivery.

Al_e = Price of EC Grade Aluminium Ingot/Rod (as per contract) inclusive of excise duty in Rs./MT for the conductor. This price is applicable prevailing as on 30 days prior to the date of tender delivery.

ALo = Price of EC Grade Aluminium Ingot/Rod (as per contract) exclusive of excise duty in Rs./MT for the conductor. This price is applicable prevailing as on 30 days prior to the date of tender opening.

ALo_e = Price of EC Grade Aluminium Ingot/Rod (as per contract) inclusive of excise duty in Rs./MT for the conductor. This price is applicable prevailing as on 30 days prior to the date of tender opening.

FE = Price (exclusive of excise duty) of high tensile galvanized steel wire in Rs./MT of appropriate size. This price is applicable prevailing as on 30 days prior to the date of delivery.

FE_e = Price (exclusive of excise duty) of high tensile galvanized steel wire in Rs./MT of appropriate size. This price is applicable prevailing as on 30 days prior to the date of delivery.

FEo = Price (exclusive of excise duty) of high tensile galvanized steel wire in Rs./MT of appropriate size. This price is applicable prevailing as on 30 days prior to the date of tender opening.

FEo_e = Price (exclusive of excise duty) of high tensile galvanized steel wire in Rs./MT of appropriate size. This price is applicable prevailing as on 30 days prior to the date of tender opening.

Note : In case of any clarifications in the above formula kindly refer the IEEMA price variation formula for ACSR conductors given in circular IEEMA/PVC/CONDUCTOR/2012 effective from 1st April 2012, In case of any discrepancies the IEEMA circular mentioned shall prevail.

1.0.2 **<u>For Station/ Power Transformer</u>**

The price adjustment on the Ex-works price component, less advance, of Transformers shall be as follows:

1.0.2.1 The price variation clause for 'Power Transformers'

The price payable shall be subject to adjustment, up or down in accordance with the following formula:

P = 0.01 X Po (6 + 32 X (C / Co) + 27 X (ES / ESo) + 12 X (IS / ISo) + 4 X (IM / IMo) + 9 X (TO / TOo) + 10 X (W/Wo))

Wherein,

P = Price payable as adjusted in accordance with the above formula.
Po = Price quoted / confirmed.
Co = Price of CC copper rods (as published by IEEMA) This price is applicable for the month, one month prior to the date of tendering.
ESo = Price of CRGO Electrical steel lamination (as published by IEEMA) This price as applicable for the month, one month prior to the date of tendering.
ISo = Average price of steel Plates 10 mm thick(as published by IEEMA) This price is as applicable for the month, one month prior to the date of tendering.
IMo = Price of Insulating Material (as published by IEEMA) This price is as applicable for the month, one month prior to the date of tendering.
TOo = Price of Transformer oil (as published by IEEMA) This price is as applicable for the month, one month prior to the date of tendering.
Wo = All India average consumer price index number for industrial workers, as published by the labour bureau, Ministry of Labour, Govt. of India (Base: 2001 = 100) This index number is applicable for the month, three months prior to the date of tendering.
C = Price of CC copper rods (as published by IEEMA) This price is applicable for the month, two months prior to the date of delivery.
ES = Price of CRGO Electrical steel lamination (as published by IEEMA) This price is applicable for the month, two months prior to the date of delivery.
IS = Average price of Steel Plates 10 mm thick (as published by IEEMA) This price is as applicable for the month, one month prior to the date of delivery.
IM = Price of Insulating Material (as published by IEEMA) This price is as applicable for the month, two months prior to the date of delivery.
TO = Price of Transformer oil (as published by IEEMA) This price is as applicable for the month, one month prior to the date of delivery.
W = All India average consumer price index number for industrial workers, as published by the labour bureau, Ministry of Labour, Govt. of India (Base: 2001 = 100) This index number is as applicable for the month, three months prior to the date of delivery.

Note : In case of any clarifications in the above formula kindly refer the IEEMA price variation formula given in circular IEEMA/PVC/PWR TRF_upto 400 KV/2021 effective from 1st September 2021, In case of any discrepancies the IEEMA circular mentioned shall prevail.

1.0.3 **Station / Distribution Transformer (Aluminum/Copper wound)**

The price adjustment on the Ex-works price component, less advance, of Transformers shall be as follows:

1.0.3.1 The price variation clause for Aluminium wound distribution transformers (Single & Three phase of ratings upto and including 2,500kVA and voltage upto 33kV) complete with all accessories and components.

The price payable shall be subject to adjustment, up or down in accordance with the following formula:

P = 0.01 X Po (8 + 22 X (AL / ALo) + 36 X(ES / ESo) + 12 X (IS / ISo) + 5 X (IM / IMo) + 10 X(TO / TOo) + 7 X (W / Wo)

Wherein,

P = Price payable as adjusted in accordance with the above formula.

Po = Price quoted / confirmed.

ALo = LME CSP Average of Aluminium (as published by IEEMA) This price as applicable for the month, one month prior to the date of tendering.

ESo = Price of CRGO Electrical steel lamination (as published by IEEMA) This price as applicable for the month, one month prior to the date of tendering.

ISo = Price of the HR coil of 3.15 mm thickness (as published by IEEMA) This price is as applicable for the month, one month prior to the date of tendering.

IMo = Price of Insulating Material (as published by IEEMA) This price is as applicable for the month, one month prior to the date of tendering.

TOo = Price of Transformer oil (as published by IEEMA) This price is as applicable for the month, one month prior to the date of tendering.

Wo = All India average consumer price index number for industrial workers, as published by the labour bureau, Ministry of Labour, Govt. of India (Base: 2016 = 100) This index number is as applicable for the month, three months prior to the date of tendering.

AL = LME CSP Average of Aluminium (as published by IEEMA) This price as applicable for the month, one month prior to the date of delivery.

ES = Price of CRGO Electrical steel lamination (as published by IEEMA) This price as applicable for the month, one month prior to the date of delivery.

IS = Price of the HR coil of 3.15 mm thickness (as published by IEEMA) This price is as applicable for the month, one month prior to the date of delivery.

IM = Price of Insulating Material (as published by IEEMA) This price is as applicable for the month, one month prior to the date of delivery.

TO = Price of Transformer oil (as published by IEEMA) This price is as applicable for the month, one month prior to the date of delivery.

W = All India average consumer price index number for industrial workers, as published by the labour bureau, Ministry of Labour, Govt. of India (Base: 2001 = 100) This index number is as applicable for the month, three months prior to the date of delivery.

Note : In case of any clarifications in the above formula kindly refer the IEEMA price variation formula given in circular IEEMA/PVC/DIST_AL_upto 2.5 MVA/2021 effective from 1st September 2021, In case of any discrepancies the IEEMA circular mentioned shall prevail.

1.0.3.2 The price variation clause for Copper wound distribution transformers (Single & Three phase of ratings upto and including 2,500kVA and voltage upto 33kV) complete with all accessories and components.

The price payable shall be subject to adjustment, up or down in accordance with the following formula:

P = 0.01 X Po (7 + 41 X (C / Co) + 23 X(ES / ESo) + 10X (IS / ISo) + 5 X (IM / IMo) + 8 X(TO / TOo) + 6 X (W / Wo)

Wherein,

P = Price payable as adjusted in accordance with the above formula.

Po = Price quoted / confirmed.

Co = Price of CC copper rods (as published by IEEMA) This price as applicable for the month, one month prior to the date of tendering.

ESo = Price of CRGO Electrical steel lamination (as published by IEEMA) This price as applicable for the month, one month prior to the date of tendering.

ISo = Price of the HR coil of 3.15 mm thickness (as published by IEEMA) This price is as applicable for the month, one month prior to the date of tendering.

IMo = Price of Insulating Material (as published by IEEMA) This price is as applicable for the month, one month prior to the date of tendering.

TOo = Price of Transformer oil (as published by IEEMA) This price is as applicable for the month, one month prior to the date of tendering.

Wo = All India average consumer price index number for industrial workers, as published by the labour bureau, Ministry of Labour, Govt. of India (Base: 2016 = 100)

This index number is as applicable for the month, three months prior to the date of tendering.
C = Price of CC copper rods (as published by IEEMA) This price is as applicable for the month, one month prior to the date of delivery.
ES = Price of CRGO Electrical steel lamination (as published by IEEMA) This price is as applicable for the month, one month prior to the date of delivery.
IS = Price of the HR coil of 3.15 mm thickness (as published by IEEMA) This price is as applicable for the month, one month prior to the date of delivery.
IM = Price of Insulating Material (as published by IEEMA) This price is as applicable for the month, one month prior to the date of delivery.
TO = Price of Transformer oil (as published by IEEMA) This price is as applicable for the month, one month prior to the date of delivery.
W = All India average consumer price index number for industrial workers, as published by the labour bureau, Ministry of Labour, Govt. of India (Base: 2016 = 100) This index number is as applicable for the month, three months prior to the date of delivery.

Note : In case of any clarifications in the above formula kindly refer the IEEMA price variation formula given in circular IEEMA/PVC/DIST_CU_upto 2.5 MVA/2021 effective from 1st September 2021, In case of any discrepancies the IEEMA circular mentioned shall prevail.

1.0.4 **Cables**

The price adjustment on the Ex-works price component, less advance, of Cables shall be as follows:

Terms used in price variation formula :
P = Price payable as adjusted in accordance with the appropriate formula (in Rs/km)
Po = Price quoted/confirmed (in Rs/km)
Aluminium
AIF = Variation factor in Aluminium (as published by IEEMA)
Al = Price of EC grade aluminum rods (Properzi rods) (as published by IEEMA). This price is as applicable on the first working day of the month, one month prior to the date of delivery.

Alo = Price of EC grade aluminum rods (Properzi rods) (as published by IEEMA). This price is as applicable on the first working day of the month, one month prior to the date of tendering.

Copper

CuF = Variation factor for copper

Cu = Price of CC copper rods (as published by IEEMA). This price is as applicable on the first working day of the month, one month prior to the date of delivery.

Cuo = Price of CC copper rods (as published by IEEMA). This price is as applicable on the first working day of the month, one month prior to the date of tendering.

PVC Compound Polymer

PVCc = Price of PVC compound (as published by IEEMA). This price is as applicable on the first working day of the month, one month prior to the date of delivery.

PVCco = Price of PVC compound (as published by IEEMA). This price is as applicable on the first working day of the month, one month prior to the date of tendering.

CCFAl = Variation factor for PVC Compound/ Polymer for aluminum conductor cable (as published by IEEMA)

CCFCu = Variation factor for PVC Compound/ Polymer for copper conductor cable (as published by IEEMA)

XLPE COMPOUND

Cc = Price of XLPE compound. This price is as applicable on first working day of the month, one month prior to the date of delivery.

Cco = Price of XLPE compound. This price is as applicable on first working day of the month, one month prior to the date of tendering.

XLFAL = Variation factor for XLPE compound for aluminum conductor cable.

XLFCU = Variation factor for XLPE compound for Copper Conductor cable.

Steel

FeF = Variation factor for steel (as published by IEEMA)

FeW = Variation factor for round wire steel armouring (as published by IEEMA)

Fe = Price of steel strips / steel wire (as published by IEEMA). This price is as applicable on the first working day of the month, one month prior to the date of delivery.

Feo = Price of steel strips / steel wire (as published by IEEMA). This price is as applicable on the first working day of the month, one month prior to the date of tendering.

The prices and indices mentioned above are published by IEEMA vide circular reference IEEMA(PVC)/Cable/--/-- prevailing as on 1st working day of the month i.e., one month prior to the date of tendering.

Price variation formulae for Power Cables

A. Aluminium conductor PVC insulated 1.1kV power cables

$$P = Po + AlF\ (AL - Alo) + CCFAl\ (PVCC - PVCco) + FeF\ (Fe - Feo)$$

For unarmoured multicore cables (without steel armour); FeF = 0

B. Copper conductor PVC insulated 1.1kV power cables

P = Po + CuF (Cu – Cuo) + CCFCu (PVCC –PV Cco) + Fef (Fe – Feo) + AlF (Al -Alo)

For steel armoured cables; AlF = 0

For aluminium armoured cables ; FeF = 0

For unarmoured cables ; FeF, AlF = 0

C. Copper conductor PVC insulated 1.1kV control cables

P = Po + CuF(Cu – Cuo) + CCFCu (CC- Cco) + FeF (Fe – Feo)

For unarmoured cables; FeF = 0

D. Aluminium conductor XLPE insulated 1.1kV power cables

P = Po + AlF (AL – Alo) + XLFAL (CC-Cco) + CCFAl (PVCC – PVCco) + FeF (Fe – Feo)

For unarmoured cables; FeF = 0

E. Copper conductor XLPE insulated 1.1kV power cables

P = Po + CuF (Cu – Cuo) + XLFCU (CC – Cco) + CCFCu (PVCC – PVCco) + FeF (Fe -Feo) + AlF (AL – Alo)

For steel armoured cables; AlF = 0

For aluminium armoured cables ; FeF = 0

For unarmoured cables ; FeF, AlF = 0

F. Copper conductor XLPE insulated 1.1kV control cables

P = Po + CuF (Cu – Cuo) + XLFCU (CC – Cco) + CCFCu (PVCC – PVCco) + FeF (Fe – Feo)

For unarmoured cables; FeF = 0

G. For Aluminium conductor XLPE insulated 3.3 to 33kV power cables

P = Po + AlF (Al -Alo) + XLFAL (CC – Cco) + CCFAl (PVCc – PVCco) + FeF (Fe – Feo)

For unarmoured multicore cables (without steel armour); FeF = 0

H. Copper conductor XLPE insulated 3.3 to 33kV power cables

P = Po + CuF (Cu – Cuo) + XLFCU (CC – Cco) + CCFCu (PVCC – PVCco) + FeF (Fe – Feo) + AlF (AL – Alo)

For steel armoured cables; AlF = 0

For aluminium armoured cables; FeF = 0

For unarmoured cables; FeF, AlF = 0

Note : In case of any clarifications in the above formula kindly refer the IEEMA price variation formula given in circular IEEMA/DIV/CAB/05 dated 24.04.2018 effective from 1st November 2017, In case of any discrepancies the IEEMA circular mentioned shall prevail.

1.0.5 **A. Steel Structure**

Steel structure (excluding nuts, bolts) used in fabrication work at various places in Sub-Transmission and Distribution network (such as lattice structure used in ST&D network/line, switchyard etc.), which are billable items in the Bill of quantity (BOQ) shall be covered under this head. The price adjustment formula for such structural steel items shall be as mentioned hereinafter.

The price component of the structural steel for any shipment/ dispatch comprises of a fixed portion (designated as 'F' and the value of which is specified hereunder) and a variable portion linked with the indices for respective materials and labour (description and co-efficient as enumerated below).

The amount of price adjustment towards variable portion payable/recoverable on each shipment/dispatch shall be computed as under:
EC = EC1 - EC0

EC1 will be computed as follows in any of appropriate manner as applicable (a or b or c):

a) For structure using both heavy and lighter angles:
EC1= EC0 * [F + 0.18 * (HA1/HA0) + 0.40 * (LA1/LA0) + 0.16 * (Zn1/Zn0) + 0.11 * (L1/L0)]

b) For structure using only heavy angles:
EC1= EC0 * [F + 0.58 * (HA1/HA0) + 0.16 * (Zn1/Zn0) + 0.11 * (L1/L0)]

c) For structure using only lighter angles:
EC1= EC0 * [F + 0.58 * (LA1/LA0) + 0.16 * (Zn1/Zn0) + 0.11 * (L1/L0)]

d) Steel Pole Tower (including Bolts, Nuts & structural component etc.)
EC1 = EC0 [0.15 + 0.58 * (HA1/HA0) + 0.16 * (Zn1/Zn0) + 0.11 x (L1/L0)] – EC0

Where

EC = Adjustment to Ex-Works price component payable to Contractor for each shipment/dispatch

EC1 = Adjusted amount of Ex-works price component of Contract payable to Contractor for each shipment / dispatch.

ECo = Ex-works price for the respective item of the Contract, Shipment/dispatch wise (quoted price).

F = Fixed portion of the ex-works/FOB component of the Contract Price (F) shall be 0.15.

HA = Price of Heavy angle steel, as published by IEEMA

LA = Price of Lighter angle steel, as published by IEEMA

Zn = Price of electrolytic high grade zinc, as published by IEEMA

L = All India average Consumer Price Index Number for Industrial Workers (base 2001=100) as published/declared by Labour Bureau, Shimla, Government of India and circulated by IEEMA.

For the indices, subscript 'o' refers to indices as on 30 days prior to date set for opening of bids. Subscript '1' refers to indices as of

(a) two months/sixty (60) days prior to the date of shipment/dispatch for labour, and
(b) at the expiry of two third (2/3) period from the date of Notification of Award to the date of shipment/dispatch, for material.

For the purpose of this clause the date of shipment/ dispatch shall mean the Schedule date of shipment/dispatch or actual date of shipment/dispatch, whichever is earlier. The schedule date of shipment/dispatch shall be as identified in line with provisions of Time Schedule in the Contract Agreement.

In case of shipments/ dispatches which are delayed beyond the schedule date of shipment/dispatch for reasons attributable to the Contractor, the price adjustment provision shall not be applicable for the period of time between the schedule date of shipment/dispatch and the actual date of shipment/dispatch.

Note: As per IEEMA Circular No. IEEMA(PVC)/TLT/(R)/02/2007-

1) Heavy Steel Angles of size 150mm*150mm*12mm as per IS-2062 has been categorized as Heavy Angles (HA).
2) Re-rolled steel angles of size 50mm*50mm*4 mm Lighter has been categorized as Lighter Angles (LA).
3) Input costs for all heavy angles of size above 110m*110mm are deemed to be related to the price under Sr No.1.
4) Input costs for all lighter angles of size below & including 110m*110mm are deemed to be related to the price under Sr No.2.

Steel Tubular Poles: PRICE VARIATION CLAUSE FOR POLES: The price quoted/confirmed is based on the input cost of raw materials/components and labour cost as on the date of quotation and the same is deemed to be related to prices of raw materials and all India average consumer price index number for industrial workers as specified in the price variation clause given below. In case of any variation in these prices and index numbers, the price payable shall be subject to adjustment, up or down in accordance with the following formula:

(A) Steel Tubular Poles

$$P = P_{\circ}\ 100\ (\ 7 + 70\ IS\ IS_{\circ} + 13\ Zn\ Zn_{\circ} + 10\ W\ W_{\circ})$$

(B) Polygonal Poles

$$P = P_{\circ}\ 100\ (\ 9 + 64\ IS\ IS_{\circ} + 13\ Zn\ Zn_{\circ} + 14\ W\ W_{\circ})$$

Wherein,

P = Price payable as adjusted in accordance with the above formula.

P0 = Price quoted/confirmed.
IS0 = Price of HR Coil of 3.15 mm thickness (refer notes) This price is as applicable for the month, ONE month prior to the date of tendering.
Zn0 = Price of Electrolytic high grade zinc (refer notes) This price is as applicable on the 1st working day of the month, ONE month prior to the date of tendering.
W0 = All India average consumer price index number for industrial workers, as published by the Labour Bureau, Ministry of Labour, Govt. of India (Base: 2016 = 100) (Refer notes)

This index number is as applicable for the month, THREE months prior to the date of tendering.

For example, if date of tendering falls in May 2022, the applicable prices of HR Coil (IS0) should be for the month March 2022, Zinc (Zn0) should be for the month April 2022 and all India average consumer price index number (W0) should be for the month of February 2022.
The above prices and indices are as published by IEEMA vide circular reference number IEEMA (PVC)/TLT-2014 (R-1)/_/_ ONE month prior to the date of tendering.
IS = Price of HR Coil of 3.15 mm thickness (refer notes) This price is as applicable for the month, FOUR month prior to the date of delivery.
Zn = Price of Electrolytic high grade zinc (refer notes) This price is as applicable on the 1st working day of the month, ONE month prior to the date of delivery.
W = All India average consumer price index number for industrial workers, as published by the Labour Bureau, Ministry of Labour, Govt. of India (Base: 2016 = 100) (Refer notes) This index number is as applicable on the first working day of the month, THREE months prior to the date of delivery.

For example, if date of delivery falls in December 2022, the applicable prices of HR Coil (IS) should be for August 2022 and Zinc (Zn) should be for the month November 2022 and all India average consumer price index number (W) should be for the month of September 2022.
The date of delivery is the date on which Poles are notified as being ready for inspection/dispatch (in the absence of such notification, the date of manufacturer's dispatch note is to be considered as the date of delivery) or the contracted delivery date (including any agreed extension thereto), whichever is earlier.
Notes:
(a) All prices of raw materials are exclusive of GST and any other central, state or local taxes etc.
(b) The details of prices are as under:

1. Price of steel is the average retail price of HR Coil 3.15 mm thickness as published by Joint Plant Committee (JPC) in Rs./MT.
2. The price of Electrolytic high grade zinc (in Rs/MT) is ex-works price as quoted by a primary producer.

(C) Note : In case of any clarifications in the above formula kindly refer the IEEMA price variation formula given in circular 10/PVC/T & D Project/05 *effective from 1st April 2022, In case of any discrepancies the IEEMA circular mentioned shall prevail.*

1.0.6 **66/11 KV & 33/11 KV Switchgear (indoor/outdoor) including 66/33/11 KV Circuit Breakers and Isolators:**

The Contract Price shall be subject to price adjustment during performance of the Contract to reflect changes in the cost of labour and material components in accordance with the provisions described below.
The Ex-Works price of 66/11 KV & 33/11 KV Switchgear (Indoor/Outdoor), Circuit Breakers, and Isolators excluding Mandatory Spares and Type Tests Charges (if any) will be subject to Price adjustment. The price adjustment formula for the components of the Contract Price, as mentioned above shall be as stipulated hereinafter.

The price component of the equipment for any shipment/ dispatch comprises of a fixed portion (designated as 'F' and the value of which is specified hereunder) and a variable portion linked with the indices for various materials and labour (description and co-efficient as enumerated below).

The amount of price adjustment towards variable portion payable/recoverable on each shipment/dispatch shall be computed as under:

$$P = 0.01 \text{ X } Po \left(20 + 28 \left(IS / ISo \right) + 26 \left(C / Co \right) + 4 \left(AL / ALo \right) + 9 \left(ln / lno \right) + 13 \left(W / Wo \right) \right)$$

Wherein,

P = Price payable as adjusted in accordance with the above formula

Po = Price quoted/confirmed

ISo = Wholesale price index number for ‘Manufacture of Basic Metals’(Base: 2011-12 = 100) (as published by IEEMA). This price index number for the month, Three month prior to the date of tendering

Co = Average LME settlement price of copper wire bars (as published by IEEMA). This price is applicable for the month, One month prior to the date of tendering

Alo = Price of busbar grade aluminum (as published by IEEMA). This price is applicable on the 1st working day of the month, One month prior to the date of tendering

lno = Price of epoxy resin for indoor circuit breakers and switch gear (as published by IEEMA). This price is applicable on the 1st working day of the month, One month prior to the date of tendering
Or wholesale price index of insulator for outdoor circuit breakers (VBF and SDB) (as published by IEEMA). This index number is as applicable for the month, Three month prior to the date of tendering

Wo = All India average consumer price index number for industrial workers, as published by the Labour bureau, Ministry of Labour, Government of India (Base : 2001 = 100)
This index number is as applicable for the month, Four month prior to the date of tendering. (as published by IEEMA)

ISo = Wholesale price index number for ‘Manufacture of Basic Metals’(Base: 2011-12 = 100) (as published by IEEMA). This price index number for the month, Three month prior to the date of tendering

Co = Average LME settlement price of copper wire bars (as published by IEEMA). This price is applicable for the month, One month prior to the date of tendering

Alo = Price of busbar grade aluminum (as published by IEEMA). This price is applicable on the 1st working day of the month, One month prior to the date of tendering

lno = Price of epoxy resin for indoor circuit breakers and switch gear (as published by IEEMA). This price is applicable on the 1st working day of the month, One month prior to the date of tendering
Or wholesale price index of insulator for outdoor circuit breakers (VBF and SDB) (as published by IEEMA). This index number is as applicable for the month, Three month prior to the date of tendering

Wo = All India average consumer price index number for industrial workers, as published by the Labour bureau, Ministry of Labour, Government of India (Base : 2001

= 100) (as published by IEEMA). This index number is as applicable for the month, Four month prior to the date of tendering

Note : In case of any clarifications in the above formula kindly refer the IEEMA price variation formula given in circular IEEMA/PVC/MVSWGR/2019 (R-2) effective from 1st January 2019, In case of any discrepancies the IEEMA circular mentioned shall prevail.

1.0.7 **Aerial Bunched Cables**

The price payable shall be subject to adjustment up or down in accordance with the formulae provided in this document.

Terms used in price variation formulae:

P = Price payable as adjusted in accordance with above appropriate formula (in Rs/Km)

Po = Price quoted/confirmed (in Rs/Km)

n = No. of phase conductor

ALUMINIUM

Alph= Aluminium factor for phase conductor (as published by IEEMA)

Alm= Aluminium factor for messenger conductor (as published by IEEMA)

Alsl= Aluminium factor for street light conductor (as published by IEEMA)

Aln= Aluminium factor for neutral conductor (as published by IEEMA)

AI = Price of LME average Cash SELLER Settlement price of Primary Aluminium in US$ per MT as published by London Metal Bulletin (LME) including Premium for Aluminium Ingot in US$ per MT converted in Rs./MT

This price is as applicable of first working day of the month, one month prior to the date of delivery.

Alo = Price of LME average Cash SELLER Settlement price of Primary Aluminium in US$ per MT as published by London Metal Bulletin (LME) including Premium for Aluminium Ingot in US$ per MT converted in Rs./MT

This price is as applicable on first working day of the month, one month prior to the date of tendering.

XLPE COMPOUND

CCFAlph = XLPE factor for phase conductor (For LV AB Cables) (as published by IEEMA)

CCF1Alph= XLPE factor for phase conductor (For MV_HV AB Cables) (as published by IEEMA)

CCFAlm= XLPE factor for messenger conductor (as published by IEEMA)

CCFAlsl= XLPE factor for street light conductor (as published by IEEMA)

CCFAln= XLPE factor for neutral conductor (as published by IEEMA)

Cc = Price of LV/HV XLPE Compound in Rs/MT of a representative grade applicable for LV /HV Aerial
Bunch Cables respectively; as quoted by supplier/s. (as published by IEEMA)
This price is as applicable of first working day of the month, one month prior to the date of delivery

Cco = Price of LV/HV XLPE Compound in Rs/MT of a representative grade applicable for LV /HV Aerial
Bunch Cables respectively; as quoted by supplier/s.
This price is as applicable of first working day of the month, one month prior to the date of tendering
PVC/PE Compound

CCF2Alph= PVC/ PE factor for phase conductor (For MV_HV AB Cables)

PVCc price of PVC compound (equivalent to CW-22 grade) in Rs/MT; as quoted by supplier/s.
This price is as applicable on first working day of the month, one month prior to the date of delivery

PVCco Price of PVC compound (Equivalent to CW-22 Grade) in Rs/MT; as quoted by supplier/s.
This price is as applicable on first working day of the month, one month prior to the date of tendering Copper

CuFtph= Cu tape factor for phase conductor

CU = The LME price of Copper Wire Bars (in Rs./MT) is the LME average settlement price of Copper
Wire Bars converted into Indian Rupees with average exchange rate of the month. This price is the
landed cost, inclusive of applicable customs duty only.
This price is as applicable of first working day of the month, one month prior to the date of delivery.

CU0 = The LME price of Copper Wire Bars (in Rs./MT) is the LME average settlement price of Copper
Wire Bars converted into Indian Rupees with average exchange rate of the month.
This price is the landed cost, inclusive of applicable customs duty only.
This price is as applicable of first working day of the month, one month prior to the date of tendering.

The above prices and indices are as published by IEEMA vide Circular reference IEEMA(PVC)/CABLE(R-1)/--/-- prevailing as on 1st working day of the month i.e. one month prior to the date of tendering.

Price variation formulae for 'LV & HV Aerial Bunch Cables'

1. LV Aerial Bunched Cables with Aluminium Conductor , XLPE Insulated and Aluminium Magnesium-Silicon Alloy Messenger Conductor

P = P0 + Alph * n* (Al-Al0) + Alm(Al-Al0) + Alsl(Al-Al0) + Aln(Al-Al0) + CCFAlph *n* (CC-CC0)+ CFAlm(CCCC0) + CCFAlsl (CC-CC0) + CCFAln(CC-CC0)

In case messenger is bare; XLPE factor CCFAlm= 0

2. HV Aerial Bunched Cables with Aluminium Conductor, Conductor screened, XLPE Insulated, insulation screened followed by copper tape and over all PVC/PE sheathe cores twisted around Bare Aluminium Magnesium-Silicon Alloy Messenger Conductor

P = P0 + Alph *n *(Al-Al0) + Alm(Al-Al0) + CUFtph * n *(Cu-Cu0) + CCF1Alph * n* (CC-CC0) + CCF2Alph * n *(PVCc-PVCc0) + CCFAlm (CC-CC0)

Note In case of any clarifications in the above formula kindly refer the IEEMA price variation formula given in circular IEEMA(PVC)/AB CABLE/2017 effective from 1st November 2017, In case of any discrepancies the IEEMA circular mentioned shall prevail.

1.0.8 The Employer shall use the recent formula/ revisions published by IEEMA to calculate the Price adjustment on supply of plants and facilities.

1.0.9 The price adjustment amount towards the price components of materials shall be as per the price variation formulas mentioned in para 1.0.1 to 1.0.8 without any ceiling.

1.0.10 For the purpose of price adjustment for Ex-works price component, the date of shipment for goods shall mean the scheduled date of shipment or actual date of shipment, whichever is earlier. Scheduled date of shipment will be ex-works date of dispatch, governed by the approved PERT Chart as per Appendix- 4 Time Schedule.

1.0.11 No price increase shall be allowed beyond the original delivery dates unless specifically stated in the Time Extension letter, if any, issued by the Employer. The Employer will, however, be entitled to any decrease in the Contract price which may be caused due to lower price adjustment amount in case of delivery beyond the original delivery dates. In such event where the time extension is agreed by the Employer, a revised L2 schedule is to be released by the Employer for the extended period in which price variation would also be allowed.

1.0.12 In case of non-publication of applicable indices on a particular date, which happens to be the applicable date for price adjustment purposes, the published indices prevailing immediately prior to the particular date shall be applicable.

1.0.13 If the price adjustment amount works out to be positive, the same is payable to the Contractor by the Employer and if it works out to be negative, the same is to be recovered by the Employer from the Contractor without any ceiling.

1.0.14 The Contractor shall promptly submit the price adjustment invoices for the supplies made and works executed at site, positively within three (3) months from the date of shipment/work done whether it is positive or negative.

1.0.15 Bids shall conform to the price adjustment provisions detailed above. Bids specifying prices for items on variable basis run the risk of rejection. A bid submitted on a fixed price basis will not be rejected but the price adjustment will be treated as zero.

1.0.16 In case of extension of the project beyond the scheduled date of completion, the price adjustment shall remain in effect till the time of scheduled completion, however for the period beyond the scheduled date of completion for which the Contractor is liable to pay liquidated damages to the employer, the price adjustment shall not be applicable.

Appendix-3 : INSURANCE REQUIREMENTS

A) Insurances to be taken out by the Contractor

In accordance with the provisions of GCC Clause 34, the Contractor shall at its expense take out and maintain in effect, or cause to be taken out and maintained in effect, during the performance of the Contract, the insurances set forth below in the sums and with the deductibles and other conditions specified. The identity of the insurers and the form of the policies shall be subject to the approval of the Employer, such approval not to be unreasonably withheld. The inability of the insurers to provide insurance cover in the sums and with the deductibles and other conditions as set forth below, shall not absolve the Contractor of his risks and liabilities under the provisions of GCC Clause 34. However, in such a case the Contractor shall be required to furnish to the Employer documentary evidence from the insurer in support of the insurer's inability as aforesaid.

In addition to the existing clause "Part – 3: Conditions of Contract and Contract Forms Appendix-3 : Insurance Requirements (A)" The latest circulars issued by the Directorate of Insurance, Maharashtra & MSEDCL is applicable.

As per the Directive of Govt. Of Maharashtra letter No: NMP1009/Sankra 39/NV 26 date: 16th March 2009, in case the directives are not followed by the contractor , the concerned authority of MSEDCL shall recover (1%) one percent amount of the contract value and deposit the same with Director of Insurance Govt. Maharashtra through Cheque/demand draft with complete particulars of contract works along with copy of work order.

(a) **Marine Cargo Policy/Transit Insurance Policy**:

(I) Transit Insurance Policy for indigenous equipment

Similarly, Transit Insurance Policy shall be taken wherein only inland transit is involved for the movement of Plant and Equipment supplied from within India. The policy shall cover movement of Plant and Equipment from the manufacturer's works to the project's warehouse at final destination site. Inland Transit Clause (ITC) 'A' along with war & Strike Riots & Civil Commotion (SRCC) extension cover shall be taken.

Amount	Deductible Limits	Parties insured	From	To
120% of Ex-work Price of all the Plant and Equipment to be supplied from within India plus	Nil	Contractor & Employer	Mfrs ware-house	Project's ware-

Excise Duty and Sales Tax/ GST etc., if additionally payable.				house store at final destination

(II) If during the execution of Contract, the Employer requests the Contractor to take any other add-on cover(s)/ supplementary cover(s) in aforesaid insurance, in such a case, the Contractor shall promptly take such add-on cover(s)/ supplementary cover(s) and the charges towards such premium for such add-on cover(s)/ supplementary cover(s) shall be reimbursed to the Contractor on submission documentary evidence of payment to the Insurance company. Therefore, charges towards premium for such add-on cover(s)/ supplementary cover(s) are not included in the Contract Price.

(III) The Contractor shall take the policy in the joint names of Employer and the Contractor. The policy shall indicate the Employer as the beneficiary. However, if the Contractor is having an open policy for its line of business, it should obtain an endorsement of the open cover policy from the insurance company indicating that the dispatches against this Contract are duly covered under its open policy and include the name of the Employer as jointly Insured in the endorsements to the open policy.

(b) **Erection All Risk Policy/Contractor All Risk Policy**:

(I) The policy should cover all physical loss or damage to the facility at site during storage, erection and commissioning covering all the perils as provided in the policy as a basic cover and the add on covers as mentioned at Sl. No. (III) below.

Amount	Deductible limits	Parties insured	From	To
105% of Ex-work Price of all the Plant and Equipment to be supplied from within India plus Excise Duty and Sales Tax/ GST etc., if additionally payable. and 100% of erection price component	Nil	Contractor & Employer	Receipt at site of first lot of the Plant and Equipment	Up to Operational Acceptance

(II) The Contractor shall take the policy in the joint name of Employer and the Contractor. All these policies shall indicate Employer as the beneficiary. The policy shall be kept valid till the date of the Operational Acceptance of the project and the period of the coverage shall be determined with the approval of the Employer.

If the work is completed earlier than the period of policy considered, the Contractor shall obtain the refund as per provisions of the policy and pass on the benefit to Employer. In case no refund is payable by the insurance company then the certificate to that effect shall be submitted to Employer at the completion of the project.

(III) The following add-on covers shall also be taken by the Contractor:

i) Earthquake
ii) Terrorism
iii) Escalation cost (approximately @10% of sum insured on annual basis)
iv) Extended Maintenance cover for Defect Liability Period
v) Design Defect
vi) Other add-on covers viz., 50-50 clause, 72 hours clause, loss minimization clause, waiver of subrogation clause (for projects of more than Rs.100 crores, cover for offsite storage/fabrication (over Rs.100 crores).

(IV) ***Third Party Liability cover with cross Liability within Geographical limits of India as on ADD-on cover to the basic EAR cover***:

Amount	Deductible limits	Parties insured	From	To
• For projects upto Rs. 100 crores, the third party liability limit shall be 10% of the project value for	Nil	Contractor/ Sub-Contractor	Receipt at site	Upto Defect Liability Period.

single occurrence/ multiple occurrences in aggregate during the entire policy period. • For projects from Rs. 100 crores to Rs. 500 crores, the third party liability limit shall be Rs. 10 crores for single occurrence/multiple occurrences in aggregate during entire policy period. For projects of more than Rs.500 crores, the third party liability limit shall be Rs. 25 crores for single occurrence/ multiple occurrences in aggregate during entire policy period.				

The third party liability add-on cover shall cover bodily injury or death suffered by third parties (including the Employer's personnel) and loss of or damage to property (including the Employer's property and any parts of the Facilities which have been accepted by the Employer) occurring in connection with supply and installation of the Facilities.

(V) As per GCC Clause 30.8, the cost of insurance premium is to be reimbursed to the Contractor for Owner Supplied Materials (OSM) for which the insurer is to be finalized by the Contractor as detailed therein. Alternatively, the Contractor may take a single policy covering the entire cost of the project including the cost of OSM. For this purpose, the Contractor shall submit documentary evidence for the premium paid for the entire project to the Employer and Employer shall reimburse to the Contractor the proportion of premium equal to value of OSM to total sum insured.

If during the execution of Contract, the Employer requests the Contractor to take any other add-on cover(s)/ supplementary cover(s) in aforesaid insurance, in such a case, the Contractor shall promptly take such add-on cover(s)/ supplementary cover(s) and the charges towards such premium for such add-on cover(s)/ supplementary cover(s) shall be reimbursed to the Contractor on submission documentary evidence of payment to the Insurance company. Therefore, charges towards premium for such add-on cover(s)/ supplementary cover(s) are not included in the Contract Price.

(c) **Automobile Liability Insurance**

The Contractor shall ensure that all the vehicles deployed by the Contractor or its Subcontractor (whether owned by them) in connection with the supply and installation of the Facilities in the project are duly insured as per RTA act. Further the Contractor or its Subcontractors may also take comprehensive policy (own damage plus third-party liability) of each individual vehicle deployed in the project on their own discretion in their own name to protect their own interest.

(d) **Workmen Compensation Policy**:

(I) Workmen Compensation Policy shall be taken by the Contractor in accordance with the statutory requirement applicable in India. The Contractor shall ensure that all the workmen employed by the Contractor or its Subcontractors for the project are adequately covered under the policy.

(II) The policy may either be project specific covering all men of the Contractor and its Subcontractors. The policy shall be kept valid till the date of Operational Acceptance of the project.

Alternatively, if the Contractor has an existing 'Workmen Compensation Policy' for all its employees including that of the Subcontractor(s), the Contractor must include the interest of the Employer for this specific Project in its existing 'Workmen Compensation Policy'.

(III) Without relieving the Contractor of its obligations and responsibilities under this Contract, before commencing work the Contractor shall insure against liability for death of or injury to persons employed by the Contractor including liability by statute and at common law. The insurance cover shall be maintained until all work including remedial work is completed including the Defect Liability Period. The insurance shall be extended to indemnify the Principal for the Principal's statutory liability to persons employed by the Contractor.

The Contractor shall also ensure that each of its Subcontractors shall affect and maintain insurance on the same basis as the 'Workmen Compensation Policy' effected by the Contractor.

(e) **Contractor's Plant and Machinery (CPM) Insurance**

The Employer (including without limitation any consultant, servant, agent or employee of the Employer) shall not in any circumstances be liable to the Contractor for any loss of or damage to any of the Contractor's Equipment or for any losses, liabilities, costs, claims, actions or demands which the Contractor may incur or which may be made against it as a result of or in connection with any such loss or damage.

The Employer shall be named as co-insured under all insurance policies taken out by the Contractor pursuant to GCC Sub-Clause 34.2, except for the Third-Party Liability, Workmen Compensation Policy Insurances, and the Contractor's Subcontractors shall be named as co-insureds under all insurance policies taken out by the Contractor pursuant to GCC Sub-Clause 34.2 except for the Cargo Insurance During Transport and Workmen Compensation Policy Insurances. All insurer's rights of subrogation against such co-insureds for losses or claims arising out of the performance of the Contract shall be waived under such policies.

B) Insurances to be taken out by the Employer

The Employer shall at its expense take out and maintain in effect during the performance of the Contract the following insurances.

Amount	Deductible limits	Parties Insured	From	To
_______ NIL ________				

-- End –

Appendix-4 : TIME SCHEDULE

1. The Project Completion Schedule shall be as follows:

Sl. No.	**Activities**	**Duration in Months from the effective date of Contract**
	Handing Over and Taking Over by the Employer upon successful Completion of:	
1.	Development of Distribution Infrastructure at XXXXX District of XXXXX (State name) under the System Strengthening works funded by ADB Scheme [Specification No.: XXXXXXXX].	24 Months

1.1 The activity(ies) under the Contractor's programme for Project Completion shall be in the form a PERT chart and shall identify the various activities like engineering, vendor finalization, placement of orders to sub-vendors, survey, Resource mobilization, erection, testing & commissioning including submission of closure proposals. Format of PERT chart is enclosed at Annexure-A. The PERT Chart shall conform to the above Project Completion Schedule.

This PERT Chart shall be discussed and agreed before Award in line with above, engineering drawing and data submission schedule shall also be discussed and finalised before Award. Liquidated damages for delay in successful Completion of the Facilities or specific part thereof (where specific parts are specified in SCC) and Operational Acceptance at rates specified in Clause 26 of GCC shall be applicable beyond the date specified above.

1.2 The Employer reserves the right to request minor changes in the work schedule at the time of Award of Contract to the successful Bidder.

1.3 The successful Bidder shall be required to prepare detailed PERT Chart and finalise the same with the Employer as per the requirement, which shall from a part of the Contract.